THE ACQUISITION OF COMMON STOCK BY THE CORPORATE ISSUER†

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IN THE PAST DECADE major U.S. corporations have increasingly repurchased significant amounts of their own common shares. The reasons for this development and its implications for the theory of share valuation and for public policy, however, have been subject to numerous, and often conflicting, interpretations. This paper presents a theoretical analysis of the economics of share repurchasing which leads to some fairly definite conclusions concerning the questions of share valuation and public policy.

I. THE BACKGROUND

It is not difficult to illustrate the dimensions to which corporate share repurchasing has recently grown. A survey of the repurchasing activities of companies listed on the New York Stock Exchange revealed that in 1963, for example, 132 firms "repurchased enough of their own common shares to account for 5% or more of the total trading in their securities."[1] Share repurchasing was, in fact, such a popular corporate activity in 1963 that "the total dollars spent by companies to buy back their common shares was 30% greater than the amount which they raised through (new) equity issues."[2] Moreover, in both 1964 and 1965 manufacturing, commercial and transportation corporations continued to be net purchasers of stock.[3]

The growth of corporate share repurchasing has aroused considerable interest, and a number of explanations of the motivation behind this activity have been suggested. It has been argued, for example, that firms sometimes buy back their own shares to have them available to acquire other companies or to fulfill the obligations of stock option plans.[4] Unquestionably, some repurchasing has been done for these reasons. Income tax considerations may make it possible for firms to acquire other companies more cheaply for stock than for cash, and use of stock options as a form of executive compensation has been widespread. However, it seems quite unlikely that the rapid growth of share repurchasing in recent years can be explained by merger and stock

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1. Guthart (7, p. 40). (The numbers refer to references at end of paper.)

2. Fleck (5, p. 10).

3. The net change for all corporations during these years, however, was positive due to the sales of new securities by public utilities and real estate and investment companies. For more detail on this point, see the *Federal Reserve Bulletin,* May, 1966, p. 716.

4. Brigham (2, p. 169) and Ellis (4, p. 120).

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option plans. Most importantly, there is no essential reason why shares used for these purposes should be repurchased, rather than newly issued. Also, the chronologies of merger and stock option activities have not paralleled the growth of share repurchasing with sufficient regularity to indicate a causal relationship between these developments. The postwar merger movement was in full swing long before corporations began buying back their own shares in significant amounts, and the decline in the attractiveness of stock option plans because of the changes in the tax code has not been accompanied by a reduction in the amount of repurchasing.[5]

Corporations also repurchase shares with the intention of retiring them, or, at least, holding them indefinitely in the treasury. Several motives for such repurchasing activities have been suggested, virtually all relating the repurchase of the shares to the generation of liquid assets which cannot be profitably invested by the firm in the foreseeable future. In particular, it has been suggested that firms with "redundant" liquid assets have one or more of the following motives to repurchase shares:

1. Repurchasing shares is the best investment that can be made with these assets.[6]
2. Repurchasing shares has beneficial leverage effects which cannot be obtained by distributing these assets to stockholders in another form, such as dividends.[7]
3. Repurchasing shares, rather than paying dividends, has significant tax advantages for stockholders.[8]

In view of the fact that U.S. corporations have experienced an unprecedented growth in liquidity over roughly the same period that stock repurchasing has flourished,[9] the explanations listed above merit consideration. Is a firm's purchase of its own common stock an investment? Does a firm repurchase stock to produce leverage effects not otherwise attainable? What are the tax advantages associated with buying back shares?

The next section is devoted to a discussion of the investment and leverage questions. In brief, we shall argue that repurchasing is *not* an investment and does not produce "special" leverage effects. We then shall consider the argument that repurchasing shares can have beneficial tax effects for stockholders. After explaining why the tax benefits are great, we shall consider the implications of share repurchasing for the theory of share valuation and for public policy.

II. Share Repurchasing as an Investment and as a Means of Influencing Capital Structure

In this section we shall examine the logic underlying the arguments that when a firm is generating more cash than it can profitably invest internally, share repurchasing (a) is itself a good investment, and (b) can have beneficial leverage effects.

5. On these points see, *The Wall Street Journal,* August 10, 1964, p. 1, *Business Week,* January 11, 1964, p. 104 and Kaplan (9).

6. Brigham (2, p. 169) and Donaldson (3).

7. Brigham (2) and Ellis (4).

8. Brigham (2) and Robichek and Myers (12, p. 133).

9. See Bloch (1), Frazer (6), and Jacobs (8).

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1. *The Investment Question.* The argument that share repurchasing involves some sort of investment seems widely held. The following statements, for example, have recently been made:

1. "The repurchase of its own stock by a company is an investment decision—plain and simple."[10]
2. "[A] second reason for a firm's purchase of its own shares is simply as an *investment*."[11]
3. "It is apparent that the *investment* of substantial sums in a company's own stock, beyond the amount required for stock options or acquisitions, is essentially a negative act which is inconsistent with constructive and aggressive management."[12]
4. "One of the clearest signals the management could give to him (the shareholder) is 'We think this (share repurchasing) is the best *investment* we can make. We have no other alternative investments for our cash.' "[13]

Share repurchasing does not possess the same general characteristics as other acts of investment, e.g., purchasing plant and equipment. Normal investments keep the size of the firm intact or increase it, and either have no effect on the stockholders' equity balance or the number of shares outstanding, or increase them. A firm's acquisition of its own common stock, on the other hand, reduces the size of the enterprise. In particular, the cash balance is decreased, the stockholders' equity balance is reduced, and the number of shares outstanding is cut back. In short, repurchasing shares has few characteristics which identify it as a normal investment.

2. *Repurchasing and Leverage.* In a recent article, Charles Ellis argued that firms with redundant liquid assets should "Repurchase Stock to Revitalize Equity."[14] Ellis noted that over the past decade a growing number of major U.S. companies have replaced cheap senior capital with expensive equity funds. This development, he stated, has created "unused debt capacity" and higher than necessary capital costs. His solution was for firms to regain an "optimal capital structure" by buying back their own shares and retiring them.

If we accept the argument that with the present tax code there is an optimal capital structure,[15] we are still faced with the question: why repurchase shares to change the debt/equity ratio, rather than pay dividends? Buying back stock involves no changes in capital structure that could not also be obtained by combining a dividend payment with a reverse stock split.[16] Both procedures have the effect of distributing cash to stockholders, reducing the firm's capitalization, and the number of outstanding shares, increasing its earnings

10. Rundell (13).
11. Brigham (2).
12. Donaldson (3).
13. Warren Law as quoted in Fleck (5, p. 13).
14. Ellis (4).
15. On this point see, Modigliani and Miller (10).
16. To be sure, the repurchase eliminates the need to make the reverse stock split. However. in view of the fact that there is little evidence to suggest that simply changing the number of shares outstanding has a significant effect on the real value of the firm, this point seems somewhat trivial.

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per share, and thereby raising stock price per share (compared to what it would have been if the number of shares had not been reduced).[17]

Summing up, our analysis thus far suggests it is unlikely the recent growth in share repurchasing can be accounted for on the grounds that it has been done (a) to provide shares to be used for mergers or stock options, (b) to "invest" redundant liquid assets, or (c) to produce changes in leverage.[18]

III. Taxes and Share Repurchasing

In several recent publications it has been suggested that the current tax laws provide powerful incentives for firms with redundant liquid assets to repurchase shares, rather than pay dividends.[19] However, these arguments and their implications for the theory of share valuation and public policy have not been fully developed.

1. *Tax Benefits to Shareholders.* Under the present tax structure many persons prefer capital gains to ordinary income. The reason for their preference is that the marginal rate of taxation on ordinary income can range as high as 70%, while the rate on long-term capital gains is only one-half that on ordinary income, up to a maximum of 25%.[20]

Consider now a corporation with excess liquid assets that it desires to pay out in the form most attractive from its shareholders' point of view. If it distributes them as dividends, they will represent ordinary income to shareholders, and will be taxed accordingly. If, on the other hand, the corporation buys back shares, a portion of its distribution will be regarded as a return to the shareholders' capital and will not be taxed at all, while that portion of the return which is taxed, i.e., the capital gain, will be subject to a lower rate than ordinary income. In addition, the investor who merely wants to reinvest is not taxed at all since he does not sell his stock.

Given these incentives for returning cash to stockholders by repurchasing shares, a relevant question would seem to be: Why do firms ever pay dividends? We suspect that the answer is related to the attitude of the Internal Revenue Service toward share repurchasing. The current Internal Revenue Code clearly seeks to prohibit firms from disguising dividends in the form of share repurchases.[21] Proportional repurchases, for example, are treated the same

17. Ellis (4, p. 122) states "while higher dividends probably are the most attractive method for distributing a moderately and consistently increasing surplus of cash flow, they are not always appropriate when the surplus arises in a sporadic pattern of large amounts." This position, however, ignores the possibility of firms paying "special" or "extra" dividends, a possibility that some firms, such as General Motors, use on occasion.

18. It is highly likely that some purchases take place in order for one group of investors to take advantage of insider information. Lacking the resources to buy the stock themselves they use the corporation as the vehicle for making their investment. Another reason for purchase is that one group of stockholders currently controlling the corporation may seek to retain control. Again, lacking the financial resources as individuals they use the corporation's resources to attain their own objective. We consider both of these reasons for purchase to result in improper activities by a corporation. The possibility of these situations developing is a cost of allowing corporations to repurchase their own shares.

19. Brigham (2) and Robichek and Myers (12. p. 133).

20. Dividends and capital gains accruing to some stockholders are not taxed at all.

21. On this point see Internal Revenue Code, Sec. 302.

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as dividends for tax purposes. Thus, if firms began to make all distributions in the form of share repurchases, they would almost certainly bring forth a response from the IRS.

But, why then have firms begun to repurchase shares in increasing amounts? One possible rationalization is that they feel they can defend their recent activities on non-tax grounds, e.g., on the grounds that they are making investments or simply adjusting leverage.[22]

2. *Repurchasing and Share Valuation.* We have argued that tax considerations are an important explanation of corporate repurchasing of stock. It is desirable for us to attempt to specify how a firm's decision to repurchase stock rather than pay dividends might be expected to influence share prices.

Consider a corporation that has D dollars per period available for distribution, has no profitable internal investment opportunities, and must decide whether to pay out all of D as dividends, or use some of it to buy shares. How will its decision affect the value of the firm's shares? Let us assume that (a) all shareholders are subject to the same tax rates on ordinary income and capital gains, (b) the firm makes known its intentions concerning paying dividends and repurchasing shares, and (c) the value of the common stock is equal to the present value of the firm's total cash distributions (after taxes). If we assume further that immediately following repurchasing, the firm declares a stock dividend large enough to replace the shares bought back, we can write,

$$V_o = \sum_{i=o}^{\infty} [c_i + (p - c_i)(1 - t_K)]\, m(1 + r)^{-(1+i)} + \sum_{i=o}^{\infty} (1 - t_o)\, \alpha\, D(1 + r)^{-(1+i)} \quad (1)$$

where,

D = dollars available for distribution.
V_o = value of the firm's shares at the beginning of any period.
c_i = cost basis of the shares retired in the ith period, i.e., the return of capital associated with the shares retired.
p = price per share at the time of share repurchasing, i.e., at the end of every period.
t_K = rate of taxation on capital gains.
t_o = rate of taxation on ordinary income.
m = number of shares retired in each period.
α = percentage of the company's earnings paid out as dividends, thus $(1 - \alpha)$ is percentage used to repurchase shares.
r = rate of interest.

We also can write

$$c_1 = c_o - c_o \frac{m}{n} = c_o \left(1 - \frac{m}{n} \right), \quad (2)$$

22. Certainly articles such as those by Ellis (4) aid their cause.

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where,

$n =$ number of shares outstanding at the beginning of any period.

Continuing,

$$c_2 = c_1 - c_1 \frac{m}{n} = c_1 \left(1 - \frac{m}{n}\right). \tag{3}$$

Substituting,

$$c_2 = c_o \left(1 - \frac{m}{n}\right) - c_o \left(1 - \frac{m}{n}\right) \frac{m}{n} = c_o \left(1 - \frac{m}{n}\right)^2. \tag{4}$$

Once more,

$$c_3 = c_2 - c_2 \frac{m}{n} = c_o \left(1 - \frac{m}{n}\right)^2 - c_o \left(1 - \frac{m}{n}\right)^2 \frac{m}{n} = c_o \left(1 - \frac{m}{n}\right)^3. \tag{5}$$

To generalize,

$$c_i = c_o \left(1 - \frac{m}{n}\right)^i. \tag{6}$$

Since

$$c_o = p,$$
$$c_i = p \left(1 - \frac{m}{n}\right)^i. \tag{7}$$

Substituting $p \left(1 - \frac{m}{n}\right)^i$ for c_i in equation (1) yields,

$$V_o = \sum_{i=o}^{\infty} \left[p \left(1 - \frac{m}{n}\right)^i + p \left(1 - \left(1 - \frac{m}{n}\right)^i\right)(1 - t_K) \right] m\,(1 + r)^{-(1+i)}$$
$$+ \sum_{i=o}^{\infty} (1 - t_o)\, \alpha\, D (1 + r)^{-(1+i)} \tag{8}$$

If we let $s = \left(1 - \frac{m}{n}\right)$,

$$V_o = mp \sum_{i=o}^{\infty} [s^i + (1 - s^i)(1 - t_K)](1 + r)^{-(1+i)}$$
$$+ \sum_{i=o}^{\infty} (1 - t_o)\, \alpha\, D (1 + r)^{-(1+i)} \tag{9}$$

Since $D(1 - \alpha) = mp$, we have

$$V_o = D(1 - \alpha) \sum_{i=o}^{\infty} [s^i + (1 - s^i)(1 - t_K)](1 + r)^{-(1+i)}$$
$$+ \sum_{i=o}^{\infty} (1 - t_o)\, \alpha\, D (1 + r)^{-(1+i)} \tag{10}$$

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Summing the infinite series[23] yields

$$V_o = D(1-\alpha)\left[\frac{1}{1+r-s} + \frac{1-t_K}{r} - \frac{1-t_K}{1+r-s}\right] + \frac{(1-t_o)\,\alpha D}{r}$$

$$= D(1-\alpha)\left[\frac{1-t_K}{r} + \frac{t_K}{1+r-s}\right] + \frac{(1-t_o)\,\alpha D}{r} \qquad (11)$$

Substituting $\dfrac{V_o}{V_o + D(1-\alpha)}$ for s and simplifying, we have the quadratic equation:[24]

$$r^2V_o^2 + rD\,[r(1-\alpha) - \alpha(1-t_o)]\,V_o + D^2(1-\alpha)[t_K(1-\alpha) - (1+r)(1-\alpha t_o)] = 0 \qquad (12)$$

23. We have to sum the several infinite series:

$$s^i(1+r)^{-(1+i)} = s^i\left(\frac{1}{1+r}\right)^i\left(\frac{1}{1+r}\right) = \left(\frac{s}{1+r}\right)^i\left(\frac{1}{1+r}\right)$$

$$\sum_{i=o}^{\infty}\left(\frac{s}{1+r}\right)^i\left(\frac{1}{1+r}\right) = \frac{1}{1+r}\left[\frac{1}{1-\left(\frac{s}{1+r}\right)}\right] = \frac{1}{1+r-s}$$

Also:

$$(1-t_K)\sum_{i=o}^{\infty}(1-s^i)(1+r)^{-(1+i)} =$$

$$= (1-t_K)\left[\sum_{i=o}^{\infty}(1+r)^{-(1+i)} - \sum_{i=o}^{\infty}s^i(1+r)^{-(1+i)}\right]$$

$$= \left[\frac{(1-t_K)}{(1+r)} X \frac{1}{1-\left(\frac{1}{1+r}\right)}\right] - \frac{1-t_K}{1+r}\left[\frac{1}{1-\frac{s}{1+r}}\right]$$

$$= \left(\frac{1-t_K}{1+r-1}\right) - \left(\frac{1-t_K}{1+r-s}\right)$$

$$= \frac{1-t_K}{r} - \frac{1-t_K}{1+r-s}.$$

Finally:

$$\sum_{i=o}^{\infty}(1-t_o)\,\alpha D(1+r)^{-(1+i)} = \frac{(1-t_o)\,\alpha D}{r}$$

24. We know from equation (9) that $s = \left(1 - \frac{m}{n}\right)$ Since $mp = D(1-\alpha)$, $m = \frac{D(1-\alpha)}{p}$.

Let V be the value per share at the end of the period. Then $V = np$ and $p = \frac{V}{n}$. Substituting for p: $m = \frac{nD(1-\alpha)}{V}$. And since $V = V_o + D(1-\alpha)$, and $m = \frac{nD(1-\alpha)}{V_o + D(1-\alpha)}$, substituting $\frac{nD(1-\alpha)}{V_o + D(1-\alpha)}$ for m in the expression $s = \left(1 - \frac{m}{n}\right)$ yields, $s = \frac{V_o}{V_o + D(1-\alpha)}$.

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Solving for V_o:

$$V_o = \frac{D}{2r}\Big[\alpha(1-t_o) - r(1-\alpha) + \{[r(1-\alpha) - \alpha(1-t_o)]^2 - 4(1-\alpha)[t_K(1-\alpha) - (1+r)(1-\alpha t_o)]\}^{1/2}\Big] \quad (13)$$

As an examination of equation (13) reveals, the value of the firm's shares is a function of the amount of the earnings available for distribution, the rate of interest, the form in which earnings are distributed, i.e., the breakdown between dividends and share repurchasing, and the rates of taxation on ordinary income and capital gains.

An idea of how these variables interact to affect share valuation can be obtained by considering several particular cases. If we assume, for example, that there are no taxes on either ordinary income or capital gains, equation (13) becomes $V_o = \frac{D}{r}$.

In other words, in a no tax world the value of the firm's shares is not influenced by the way in which returns are distributed to shareholders, i.e., by the size of α. Without taxes, share values are a function of the stream of earnings available for distribution and the rate of interest at which those earnings are capitalized. Since the policy of repurchasing stock rather than paying dividends influences neither of these factors, it would not affect share valuation in the absence of taxation. As Miller and Modigliani observed several years ago, "There are no financial illusions in a rational and perfect economic environment. Values there are determined solely by real considerations . . . and not by how the fruits of the (firm's) earning power are 'packaged' for distribution."[25]

Once taxes on ordinary income and capital gains are introduced, however, the value of α has a significant influence on share valuation. For example, if we let $\alpha = 0$ (all of D is used to repurchase shares), equation (13) simplifies to:

$$V_o = \frac{D}{2}\left[\left(1 + \frac{4(1+r-t_K)}{r^2}\right)^{1/2} - 1\right].$$

On the other hand, if $\alpha = 1$, we have:

$$V_o = \frac{D(1-t_o)}{r}.$$

A Numerical Example

Let $t_o = .7$, $t_K = .25$, and $r = .04$.

Assume constant dividends (cash distributions) of $1,000,000 per year, the first distribution being due one period from now.

Assuming cash dividends:

$$V_o = \frac{(1-.7)}{.04}(1{,}000{,}000) = \$7{,}500{,}000.$$

25. Modigliani and Miller (11, p. 413).

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If shares are reacquired, instead of a cash dividend:

$$V_o = \frac{1{,}000{,}000}{2}\left[\left[1 + \frac{4(1.04 - .25)}{.04^2}\right]^{1/2} - 1\right]$$

$$= 500{,}000\,[(2{,}226)^{1/2} - 1] = 500{,}000 \times 46.2$$
$$= \$23{,}000{,}000.$$

We can also illustrate the effect of varying the size of α by referring back to equation (11). As this equation makes clear, the size of α affects the value of shares in two conflicting ways—directly via its impact on the dividend component, $\frac{(1 - t_o)D\,\alpha}{r}$, and inversely via its influence on the repurchasing component, $D(1 - \alpha)\left[\frac{1 - t_K}{r} + \frac{t_K}{1 + r - s}\right]$. If the firm chooses to pay out a smaller proportion of its earnings in the form of dividends, how will share values be affected? The answer depends on the relationship between t_K and t_o. If $t_K \leqslant t_o$, and assuming perfect information and capital markets, the value of the firm's shares will be increased by having a policy of reducing α, i.e. by paying smaller dividends in the future and increasing the number of shares repurchased. Even if the tax rate on capital gains were greater than the rate on ordinary income, it may pay to repurchase shares, since the stockholders' return of capital is not taxed at all.

It should be noted that the model presented in this section could be adjusted to include such assumptions as fluctuating corporate earnings, progressive income taxation, etc. Naturally, these changes would significantly complicate the mathematical statement of the problem, and alter somewhat the relative attractiveness of buying back shares instead of paying dividends. However, as long as it is assumed that a portion of the distribution under the share repurchasing arrangement is considered to be a non-taxable return of capital, and that the capital gains rate is lower than the rate on ordinary income for a considerable number of shareholders, the essential features of our simplified model will continue to hold.

IV. Conclusions: Some Public Policy Questions

Two public policy questions concerning corporate share repurchasing become apparent. First, should firms be allowed to buy back their own shares, and, if so, should they be required to give stockholders advance notice of their intentions for the future?

We have shown that repurchasing shares can have a significant impact on the after-tax returns of stockholders. Should the form of the firm's distribution, rather than its substance, influence the amount of taxes paid by stockholders? It seems clear that as more and more firms become aware of the advantages of repurchasing shares compared with paying dividends, this issue will have to be faced.

Should corporations that decide to repurchase shares be required to notify stockholders of their intentions? A recent discussion of this issue by a panel

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of economics and finance professors concluded that the answer to this question "is not clearcut."[26] We have shown that the value of the firm's stock is a function of the form of its cash distributions. Thus it seems reasonable that shareholders should be advised of a company's distribution policy, and of changes in that policy. The corporation that repurchases shares without giving its stockholders advance notice is implicitly, if not explicitly, penalizing those who sell their shares without this information.

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26. Fleck (5, p. 11).

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